EXECUTIVE SUMMARY

1. Introduction

The township of Aparri, Cagayan is a first class municipality located at the northernmost tip of Luzon Island 595 kilometers from Manila. It is a coastal community situated at the mouth of the mighty Cagayan River dividing it into two geographical areas – Aparri East and Aparri West. The municipality is composed of 42 barangays sprawled within its 27,600.88 hectares land area with a population of 65,649 inhabitants. The town proper is made up of 15 Centro block units, the rest in its immediate environs and the western barangays including the island barangay Fuga.

Farming and fishing are the people's main sources of livelihood. The vast fertile agricultural land produces abundant quantity of rice, corn, vegetables and legumes. The gently rolling hills are dotted with fruit bearing trees and an excellent grazing land for livestock. Fishing and fish processing are vital industries. The bodies of water around and within Aparri are teemed with fishes and other marine resources. Nipa shingle sewing and wine-making are thriving enterprises in the western barangays where nipa palms abound.

The strategic location of Aparri makes it a legitimate convergent zone. Since Spanish times, the town had already been the trade and commercial center in Northern Cagayan. It is also the hub and heart of education and learning, and finance institutions in the region. The presence of educational institutions of higher learning, banks and other financial establishments, and national government agencies magnetize people from other municipalities and locations to Aparri.

In the passing times, Aparri has evolved from its lowly status to its current highly esteemed standing as the premiere municipality in Northern Cagayan. The institution of responsive and committed local leadership had merited numerous local and national awards and commendations for the municipality.

The municipal government was not only concerned of the material welfare and benefits of the people. It earnestly endeavored for the social and cultural transformation of the populace by adopting character traits for each month of the year – virtues which every Aparriano ought to internalize and exhibit in life. These are: discipline, loyalty, gratefulness, forgiveness, hospitality, determination, cleanliness, patience, responsibility, faith, resourcefulness and benevolence. This scheme had evolved Aparri into a TOWN OF CHARACTER.

Indeed, the once obscure town from the North known only because of the popularity of the mapping phrase "from Aparri to Jolo" has gained national fame and prominence. This was made possible because of the unselfish support and cooperation of Aparrianos themselves to their duly constituted local authorities.

The audit covered the accounts and operations of the Municipality of Aparri, Cagayan for the year 2020 and was aimed at determining whether management

presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Aparri, Cagayan for the year ended December 31, 2020, with comparative figures for calendar year 2019 are as follows:

Particulars	2020	2019	Increase (Decrease)	
			Amount	Percentage
Financial Position				
Assets	945,004,239.45	872,162,118.70	72,842,120.75	8.35%
Liabilities	198,776,487.30	158,639,018.86	40,137,468.44	25.30%
Govt. Equity	746,227,752.15	713,523,099.84	32,704,652.31	4.58%
Financial Performance				
Income	256,215,540.18	233,060,976.96	23,154,563.22	9.93%
Expense	202,123,294.89	154,895,270.14	47,228,024.75	30.49%
Appropriations and Obligations				
Appropriations	453,209,102.28	381,022,190.88	72,186,911.40	18.95%
Obligations	284,787,647.79	273,430,760.00	11,356,887.79	4.15%

3. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the financial statements of the Municipality of Aparri, Cagayan as at December 31, 2020 due to the following:

1. One-time cleansing of Property, Plant and Equipment (PPE) account balances totaling P540,270,488.73 was not undertaken contrary to COA Circular No. 2020-006 dated January 31, 2020 due to non-conduct of physical count of PPE, hence, doubtful as to existence and resulting in unreliable and inaccurate "PPE" account balance in the financial statements.

2. The "Road Network" account in the financial statements of the municipality amounting to P189,709,509.99 does not conform to the required 100% phased recognition of all local roads within its jurisdiction contrary to Item IX of COA Circular No. 2015-008 dated November 23, 2015.

4. Summary of Significant Audit Observations and Recommendations

Below are the recommendations on the above-stated bases for qualified opinion:

1. We recommended that Management:

    a) Create the Inventory Committee to conduct physical inventory of all PPEs of the Municipality, whether acquired through purchase or donation, including those constructed by administration and found at station;

    b) Thru the Inventory Committee created, update the property records based on the results of physical inventory, and reconcile with accounting records;

    c) Undertake all other procedures prescribed under COA Circular No. 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and

    d) After the inventory taking, direct the Municipal Accountant to update the ledger cards for each item of the PPE pursuant to Section 269 of the GAM for LGUs.

2. We recommended that the Municipal Mayor direct the concerned Department Heads to undertake their responsibilities provided in COA Circular No. 2015-008 dated November 23, 2015 to restate the "Road Network" account to its appropriate and fair balance.

The other significant audit observations and recommendations are the following:

1. Procurements of various supplies, drugs and medicines related to COVID-19 response amounting to P6,454,263.00 were recorded as outright expenses instead of the appropriate inventory accounts contrary to pertinent provisions of Government Accounting Manual for Local Government Units, hence, safeguards thereon were not adequately undertaken.

    We recommended, pursuant to Sections 182, 187, 189 and 257 of the Volume 1 of the Government Accounting Manual for LGUs to set up the proper safeguards on various supplies, drugs and medicines that:

    a. The GSO to accept the deliveries from suppliers and issue Requisition and Issue Slip for its transfer to the end-user. He should also maintain stock cards for each inventory item and submit to the Municipal Accountant the required Report of Materials and Supplies Issued five days after the end of the month.

    b. The Municipal Accountant record all inventories as asset upon delivery and acceptance and maintain Supplies Ledger Card for each specific type of Inventories; and

c. The Municipal Mayor require periodic physical inventory of supplies and materials. The physical count of unissued inventory items by type shall be conducted at least once a year and reported in the Report of the Physical Count of Inventories (RPCI).

2. The accuracy of the Cash in Bank – LCCA totaling P288,034,880.56 as at year-end could not be relied upon due to discrepancy noted amounting to P339,024.72 under account no. 0505-03927T-531, between the balances confirmed by the bank and per books, contrary to Section 74 of Presidential Decree (PD) No. 1445.

   We recommended that Management advise the Municipal Treasurer and Municipal Accountant to trace the details of the account no. 0505-03927T-531 with year-end balance of P339,024.72 as confirmed by the bank and immediately record the same in the books of the LGU pursuant to Section 74 of PD 1445 to avoid misuse and misappropriation of the fund and to reflect the correct balance of the "Cash in Bank" account in the financial statements.

3. Economic Recovery Aid amounting to P5,640,000.00 was paid at P40,000.00 to each employee and official of the LGU during December 2020 and charged against the Personnel Services of the general fund, contrary to Republic Act No. 6758 that provides the standard compensation for government employees, thus, constitutes illegal disbursement of government funds and is not allowed in audit.

   We recommended the immediate refund by all payees of the entire amount of P5,640,000.00 paid out of the municipal funds for this "Economic Recovery Aid" for calendar year 2020. We also recommended that Management pay only those allowances and benefits that are expressly provided in RA 6758 and COA Circular No. 2013-003 dated January 30, 2013 to avoid disallowances in audit.

4. Financial Assistance charged from the Special Education Fund amounting to P2,859,352.00 granted to various secondary and elementary schools were not liquidated contrary to Item 3.1.2 of COA Circular No. 2012-001 dated June 14, 2012, thus, propriety of expenditures charged therefrom and optimal utilization of the fund cannot be ascertained.

   We recommended that the Management demand the liquidation of the financial assistance and to fully adhere to the guidelines and documentary requirements provided by COA Circular No. 2012-001 dated June 14, 2012 for optimal utilization of funds and that expenditures charged therefrom are aligned with the purpose indicated in the memorandum of agreement.

5. Information on the emergency procurement of goods amounting to P31,496,109.00 to avert the adverse effects of the COVID-19 pandemic were not posted by the Municipality in the GPPB online portal contrary to the provisions of the Government Procurement Policy Board (GPPB) Circular No. 01-2020 dated

April 6, 2020 which provides the Guidelines for Emergency Procurement mandated under Republic Act No. 11469, or the Bayanihan to Heal as One Act (Bayanihan Act), hence, not compliant with the reportorial requirement of the law.

We recommended management to post all the required information in the GPPB Online Portal relating to emergency procurement and comply with all other requirements to ensure transparency and accountability in the implementation of the Bayanihan Act in government procurement.

6. The Municipality did not create special account in the general fund (SAGF) on the Bayanihan Grant to Cities and Municipalities (BGCM) amounting to P17,575,749.00 which is not in accordance with Local Budget Circular No. 125, thus, financial information needed to monitor fund utilization was not readily available.

   We recommended that Management strictly adhere to the rules and regulations on the creation of special accounts in the General Fund and direct the Accountant to maintain special account for the BGCM and make necessary adjustments on the accounts affected for fair presentation in the books of the municipality and for easy monitoring of the fund utilization in accord with Local Budget Circular No. 125.

7. The municipality purchased six (6) extravagant laptops and computer set with an aggregate cost of P687,912.00 contrary to Item No. 6 of COA Circular No. 2012-003 dated October 29, 2012, thus, payment thereof is considered lavish, injudicious and uneconomical.

   We recommended that Management submit a justification on why the subject transactions should be allowed in audit. We likewise recommended that Management refrain from purchasing unnecessarily high-specification ICT equipment and ensure moderate and economical government transactions to avoid extravagant expenditures not allowed by COA Circular No. 2012-003 dated October 29, 2012.

8. The municipality paid P273,760.00 for meals and snacks served during various sessions of the Sangguniang Bayan for the calendar year 2020 which are considered unnecessary pursuant to COA Circular 2012-003 dated October 29, 2012 and Section 343 of R.A. 7160, hence, resulted in wastage of public funds.

   We recommended that Management stop paying for meals and snacks served during meetings, conferences and sessions of the Sangguniang Bayan of the municipality in accord with Section 343 of R.A. 7160.

9. The Disbursing Officer had drawn various cash advances with an aggregate amount of P11,350,000.00 prior to approval of payrolls contrary to the provisions of Item No. 4.1.1 of COA Circular No. 1997-002 dated February 10, 1997, thus, exposing government funds to the risk of loss, abuse and possible misappropriation.

We recommended that Management grant/draw cash advances based on approved payrolls and other necessary supporting documents in accordance with COA Circular No. 1997-002 dated February 10, 1997. Payrolls should be timely prepared by the HRMO to facilitate the grant and release of cash advance. The LGU should implement control measures to ascertain prompt liquidation of cash advances to safeguard government funds and to forestall abuse and the incurrence of losses due to mishandling and misappropriation.

We also recommended that Management disburse payrolls to the bank accounts of the job order/contractual employees, to the greatest extent possible, through the automatic debit advice (ADA) facility of the Municipality's depository bank/s, thus, decrease the need for payroll cash advances. Likewise, this disbursement system would forestall personal contact with and among the various payees, pursuant to the health and safety protocols required under Republic Act No. 11469 dated March 20, 2020, thereby, managing the risks involved with the COVID-19 pandemic.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-
Charges					
Prior Years	-	-	-	-	-
Current Years	-	-	-	-	-
Total	-	-	-	-	-

6. Status of Implementation of Prior Years' Audit Recommendations

Out of the twenty (28) audit recommendations of prior year's report, twelve (12) were fully implemented, five (5) were partially implemented and the remaining ten (10) were not implemented as at year-end.